



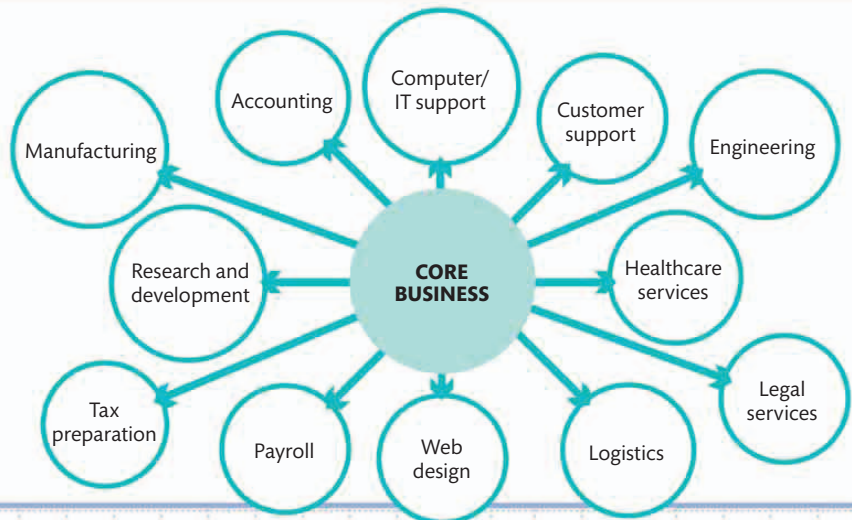
NEED TO KNOW

- › **Outsourcing** Subcontracting work to another company or buying in components for a product rather than manufacturing them
- › **Offshoring** Practice of moving a company's operating base to a foreign country where labor costs are cheaper
- › **Network structure** Tasks or operations are performed by another company—which may be in the same country, a neighboring country, or overseas—within a network structure of organizations

90%
of firms
worldwide say
outsourcing is
crucial to growth
strategies

EXAMPLES OF BUSINESS TASKS THAT CAN BE OUTSOURCED

Outsourcing certain tasks within a business enables focus to remain on core business activities, which helps generate growth as well as income. Some tasks are better suited to outsourcing than others due to factors including expertise, how time consuming a task is, and how much face-to-face time it requires. IT operations, for example, can be highly expensive, requiring expert knowledge and can easily be managed remotely. Human resources, however, is more employee focussed, so better suited to in-house.



10%

Increase speed to market

External expertise often brings shorter lead times



4%

Encourage innovation

Frees up internal capability and buys in knowledge and ideas



1%

Save capital

Frees up capital to invest in areas for growth



REASON